judicial function. The lack of this invisible infrastructure—separation of powers and judicial independence—results in lower capability at SEBI when compared with the US SEC.

Similarly, securities law is only one small part of commercial law, and many schemes that break laws go beyond violations of securities law. We tend to not see the key role played by the law enforcement apparatus of the state of New York, and the US Department of Justice 'Southern District of New York (SDNY)' office. The SEC is one piece of a complex policy apparatus. When we look at the SEC alone, we tend to not understand the remainder of this apparatus and the role played by it.

In the US, ordinary courts work well, lying in court is dangerous, and lawyers, investigators, prosecutors and judges have high capabilities. All this is the invisible infrastructure that shapes the working of the US SEC, which is lacking in India.

When we read policy papers and blog articles which engage in contemporary policy debate in advanced countries, they tend to focus on the frontiers of *their* policy environments. The US has the Food and Drugs Administration (FDA) that broadly works well, and standing on that foundation there are fervent debates about a contemporary problem such as (say) medical implants. If we transplant that worldview into India, we tend to overemphasize the problems of medical implants and underemphasize the foundations, the invisible infrastructure of a well-functioning agency like the US FDA.

Envisioning policy choices in the Indian context

Every individual state intervention takes place in a context. That context is shaped by the organization of the economy and the existing structure of state interventions. There is path dependence; the history of the country and of past actions of policymakers shapes where we are and how we see things. A policy pathway that is very successful in (say) Australia may not work in India as it is being placed in a very different setting. Envisioning